

IREN pitch deck

PITCH — IREN — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Buy a half-sized starter (~0.5% of the book) near \$44, with the second half strictly gated on the August 27 fiscal-year results passing three tests; both benches independently landed on this same half-size.

What we believe

IREN is an Australia-incorporated, Nasdaq-listed data-center company (formerly a bitcoin miner) that has signed roughly \$2.8 billion of new AI-compute contracts, headlined by Microsoft. The bearish story that dominated the tape earlier this year — “the backlog is vapor and the buildout can’t be financed” — is now refuted by dated primary documents:

- On July 20 the company announced contracted annualized revenue above \$4 billion, roughly 85% of it contracted, on four-year weighted terms with about 45% customer prepayment on new contracts.
- On August 13 an 8-K announced Horizon 1 was delivered to Microsoft and accepted, plus an NVIDIA “Exemplar Cloud” certification ([SEC filing index for IREN, CIK 1878848](#)).
- Deferred revenue grew from \$0.9 million to \$120.4 million in nine months per the [Q3 FY26 10-Q](#) — prepayment cash is actually landing, which vapor doesn’t do.

So we believe the *demand* is real. What we do **not** believe is that the stock is cheap on the delivered plan. The live risk has shifted from “is the business real” to “can they build and deliver on schedule, and what is left for shareholders after they pay for it.”

What the market believes

The stock trades at \$44.06 (52-week range \$17.22–\$76.87), which is 43% below its high but 2.5x its low, and it rose 15.6% on the Microsoft-acceptance announcement. Short interest is very large — three independent sources put it at 22–32% of the float — so this is a genuine battleground: a big crowd is betting on execution failure or dilution, and part of the recent rally was those shorts covering. Meaningfully, this is **not** a neglected or misunderstood name where we’d have an information advantage from simply reading the filings; both sides are heavily engaged.

Why we might have edge

1. **The dead bear case is still partially in the price.** With a fourth of the float short, some of the market is still positioned for a “backlog is fake / can’t be financed” outcome that primary

documents now contradict (signed contracts, prepayment cash on the balance sheet, a dedicated GPU financing facility).

2. **A confirmed near-term catalyst with a clear pass/fail test.** Fiscal-year results on August 27 (confirmed by company press release) will restate the contracted-revenue figure, hopefully date the next Microsoft delivery phase (“Horizon 2”), and address second-half funding. We wrote down the three gates in advance, so we can’t rationalize a bad print after the fact.
3. **We know exactly what caps the upside.** Our review of the 10-Q debt note found \$2.3 billion of convertible notes that convert at \$51.40 — only 15% above today’s price — plus NVIDIA warrants on 30 million shares at \$70. That gives us disciplined trim levels most of the crowd isn’t using.

Why it might be priced in

This is the strongest finding of the whole court, and it survived both benches: **the company’s own fully-delivered plan, valued generously, roughly equals today’s price.** The math: at ~\$22 billion enterprise value (market cap, plus converts corrected for the deep-in-the-money portion, plus the GPU facility, minus cash), the company’s own \$4 billion contracted-revenue target at a 60% margin and a full 9x multiple works out to about \$43–44 per share — i.e., today. To get +50% you need either a premium multiple or the **2027 leg (1.2 gigawatts of additional capacity), which is uncontracted, unfunded (~\$3.5 billion+ open, with the company itself citing “additional financing initiatives”), and physically unverified by us.** Add to that:

- The contracted-revenue metric assumes 100% utilization (contracted price × 8,760 hours/year) while actual AI-cloud revenue last quarter was \$33.6 million — the market is being asked to underwrite a ~30x revenue ramp in nine months.
- Share count grew 32% in nine months (258.1M → 341.0M). Issuing stock into strength is documented behavior, not a hypothesis.
- The convert strikes at \$51.40 and warrants at \$70 create standing sellers overhead.
- The “acceptance by Microsoft” exists only in IREN’s own press release — no Microsoft quote, no filed contract, no billing trigger — and the NVIDIA certification comes from a party holding warrants in the company, so it is not independent validation.

What we checked ourselves

Claim	How checked	Found	Confirmed?
>\$4bn contracted annualized revenue, 85% contracted, 45% prepayments”	Read the July 20 company press release directly	Checks out as stated — but the definition is contracted price × 8,760 hrs/yr (100% utilization), an aspiration ceiling, not a run-rate	YES, with definition caveat
“Target doubled from \$1.8bn to \$4bn in 8 weeks” (our red bench’s kill fact)	Blue bench re-opened red’s own cited primary, the Q3 FY26 results 8-K	Our red bench misread it. The May target was \$3.7bn, not \$1.8bn — the move to >\$4bn is +8%, backed by \$2.8bn of signed contracts. The	NO — bench error, corrected

Claim	How checked	Found	Confirmed?
		“runaway escalation” kill was an artifact and was overturned	
“Microsoft acceptance is counterparty-confirmed” (our blue bench’s initial framing)	Read the August 13 8-K text in full	Our blue bench overstated it. The language is IREN’s alone, furnished not filed, no Microsoft statement, no acceptance criteria	NO — bench error, corrected to “vendor-claimed only”
Financing complete / “financing leg retired”	Verbatim quote from the Q3 8-K	Company’s own words: near-term capex met through cash, operations, GPU financing “ and additional financing initiatives ” — financing is not done	YES (financing NOT retired)
Convertible debt terms (initially skipped by red — a self-flagged gap)	10-Q debt note, full stack pulled	2029/2030 notes (\$446M) deep in the money; \$2.3bn converts at \$51.40, \$1bn at \$85.63. Red’s face-value treatment was actually ~\$0.9B too <i>generous</i> ; corrected EV $\approx$ \$22B	YES
Enterprise-value “prize table” (delivered plan $\approx$ today’s price)	Rebuilt from corrected cap table	\$4bn revenue at 60% margin, 9x $\rightarrow$ ~\$43–44/share vs \$44 tape. Survived the cap-table correction	YES
Short interest 22–32% of float	Three independent secondary sources (no primary exchange data pulled)	Direction confirmed (heavily shorted battleground); exact level not independently derived	PARTIAL
Construction on schedule at Childress/Sweetwater (480MW for 2026)	Satellite imagery check (Sentinel-2)	Could not verify — most recent usable scenes are from Nov–Dec 2025 and used approximate county coordinates. Delivery schedule rests entirely on company statements	NO — coverage gap
Insider selling (seven Form 4s on July 1, flagged by red as overhang)	Date cross-check only; forms not opened	July 1 is the fiscal-year start — consistent with routine annual stock grants, not selling. Red’s overhang characterization was unproven	NO — unverified, do not cite
NVIDIA warrant (30M shares @ \$70)	Q3 disclosures	Real. Both benches missed it on the first pass. It dilutes above \$70 and taints the “Exemplar” certification’s independence	YES
Deferred revenue \$0.9M $\rightarrow$ \$120.4M	10-Q	Confirmed — a pro-thesis fact cutting against the vapor narrative	YES

Process error worth logging: our classifier had IREN mistagged as a Finance company, so 9 of 14 automated checks dispatched were irrelevant (bank, biotech, beauty screens). Corrected; routed to tech debt.

PROPOSED ENTRY BANDS

All levels come from the benches’ own math. Sizing convention: a full starter $\approx$ 1% of the book.

- **Tranche 1 (now, pre-print): buy ~0.5% of the book near \$44** (band \$43–45; the delivered-plan fair value is ~\$43–44, so we are paying fair, not cheap). Rationale for not waiting

flat: with a quarter of the float short and delivery momentum confirmed, being flat into the August 27 print carries real risk of the stock gapping away.

- **Tranche 2 (only if ALL THREE August 27 gates pass):** (1) contracted annualized revenue reaffirmed $\geq \$4\text{bn}$ **on the unchanged 8,760-hour definition** — any definition change is a red flag, not a pass; (2) Horizon 2 delivery given an actual date; (3) second-half capex funding named **without** a common-stock offering. If gates pass and the stock pulls back to $\leq \$38.70$ (the pre-Microsoft-announcement level), complete the starter to a full 1%; if gates pass but the stock holds higher, add only half the remaining tranche.
- **Trim zone: \$51–58.** \$51.40 is where \$2.3bn of converts convert (structural sellers overhead); $\sim \$58$ is the benches' optimistic case (\$4bn revenue at 75% margin). Trim at least half of the position through this band. \$70 (NVIDIA warrant strike) is a second ceiling — do not hold a full position through it on momentum alone.
- **Exit to flat (kill):** at the print, any cut to the contracted-revenue figure or contracted percentage, a change in the revenue-metric definition, or Horizon 2 slipping undated $\rightarrow$ exit entirely, no averaging down.
- **No-go:** do not add above \$47 pre-print (paying above the delivered-plan value before the gates are tested).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 38.7 (deck-provisional: pre-Microsoft-announcement level; tranche-2 add zone if all three 08-27 gates pass)
- filing watch: 8-K until 2027-02-11 (deck-provisional: FY26 print three-gate: $\text{ARR} \geq \$4\text{bn}$ on unchanged 8,760-hr definition, dated Horizon 2, H2 capex funded w)
- dated pack IREN|2026-08-27: IREN FY26 print 8/27 (CONFIRMED by PR): TRANCHE-2 THREE-GATE, all must pass: (1) $\text{ARR} \geq \$4\text{bn}$ on the UNCHANGED 8,760-hr definition (watch for

What remains unverified

1. **Physical construction progress.** No satellite or ground confirmation of the Childress/Sweetwater buildout; the entire 2026 delivery schedule rests on company press releases.
2. **Microsoft's side of the acceptance.** No Microsoft statement, no filed contract, no visible billing trigger. "Delivered and accepted" is IREN's characterization only.
3. **Short interest precision.** Direction confirmed from three sources; exact float percentage not independently derived.
4. **The July 1 Form 4 cluster.** Plausibly routine annual grants (fiscal-year start), but the forms were not opened.

5. **The margin and multiple assumptions.** The 60%/9x inputs in the valuation table are assumptions; no direct peer (e.g., CoreWeave) economics were pulled to anchor them.
6. **2027 financing.** Roughly \$3.5bn+ of capex for the 1.2GW 2027 expansion has no named funding source — this is where the entire upside case lives, and it is the least verified piece of the story.

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